7.8.6 Re-issue of forfeited shares

Shares forfeited can be reissued by the company. The shares can be reissued at any price. But, the reissue price cannot be less than the amount unpaid on forfeited shares.

Example: If a share of ₹ 10 on which ₹ 4 has already been paid as application money is forfeited and reissued as fully paid up, then a minimum of ₹ 6 must be fixed as the new price (10 – 4 = 6). When forfeited shares are reissued at a loss, such loss is to be debited to forfeited shares account. When forfeited shares are reissued at a premium, the amount of such premium will be credited to securities premium account. The following journal entries are passed on reissue:

Date	Particulars		L.F.	Debit ₹	Credit ₹
	(i) When reissue is made at par				
	Bank A/c	Dr.		xxx	
	To Equity share capital A/c				xxx
	(ii) When reissue is made at premium				
	Bank A/c	Dr.		xxx	
	To Equity share capital A/c				xxx
	To Securities premium A/c				xxx
	(iii) When reissue is made at loss				
	Bank A/c	Dr.		xxx	
	Forfeited shares A/c (loss on reissue)	Dr.		xxx	
	To Equity share capital A/c				xxx

If the reissue price is more than the amount unpaid on forfeited shares, it results in profit on reissue which is treated as capital profit and is transferred to capital reserve account. The following journal entry is passed:

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Forfeited shares A/c	Dr.		xxx	
	To Capital reserve A/c				xxx

When only a part of the forfeited shares are reissued, the proportionate amount of profit on the shares reissued should be transferred to capital reserve account. Proportionate amount of profit is computed as follows:

$$\frac{\text{Total amount forfeited}}{\text{Total number of shares forfeited}} \times \text{Number of shares reissued}$$

The remaining amount in the forfeited shares account is shown under share capital as a separate head under share capital in the Note to Accounts to the balance sheet.

12th-Accountancy-Unit-07.indd 240 1/4/2020 12:16:47 PM